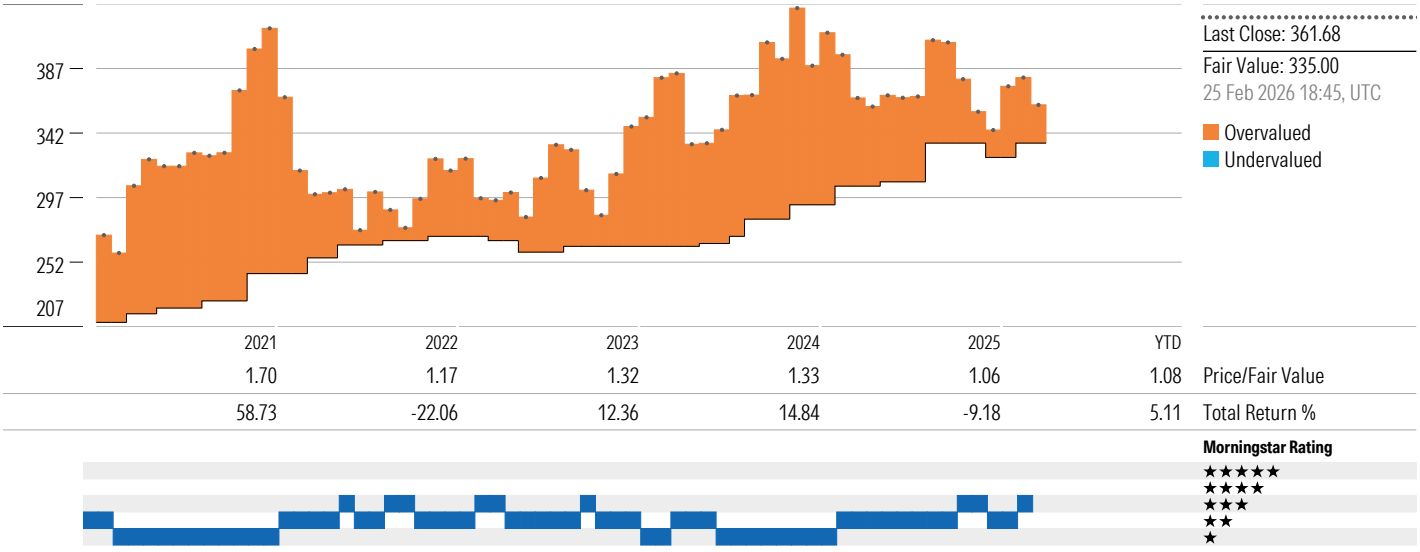
The Home Depot Inc HD ★★★ 6 Mar 2026 22:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
361.68 USD 5 Mar 2026	335.00 USD 25 Feb 2026 18:45, UTC	1.08	356.31 USD Bil 6 Mar 2026	Wide	Large Blend	Medium	Exemplary	4 Mar 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.70	1.17	1.32	1.33	1.06	1.08
Total Return %	58.73	-22.06	12.36	14.84	-9.18	5.11

Morningstar Rating

Total Return % as of 05 Mar 2026. Last Close as of 05 Mar 2026. Fair Value as of 25 Feb 2026 18:45, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Home Depot Defends Market Leadership Position Despite Languishing Industry Demand

Business Strategy & Outlook Jaime M. Katz, CFA, Senior Equity Analyst, 25 Feb 2026

Home Depot is the world's largest home improvement retailer, set to deliver $171 billion in revenue in 2026. The firm's wide economic moat rating is based on its economies of scale and brand equity. Home Depot has realized strong historical returns due to its scale, operational excellence, and concise merchandising, which remain key tenets underlying our modest margin expansion forecast. Its flexible distribution network should help elevate the firm's brand intangible asset, with faster delivery time, improving the do-it-yourself experience, and market delivery centers catering to the pro business. We believe the success of ongoing initiatives should allow for operating margin expansion back to prepandemic levels longer term, despite intermittent inflationary pressures, macroeconomic uncertainty, and an increasing sales mix shift to distribution.

Over time, Home Depot should consistently capture sales growth, bolstered by an aging housing stock, rising home prices, and a shortage in home inventory (consumers updating the homes in which they remain). Other internal catalysts for top-line growth could stem from an efficient supply chain, improved merchandising technology, and penetration of adjacent customer product segments (such as the MRO—maintenance, repair, and operations—market through the acquisition of HD Supply, the roofer market via its tie-up with SRS, or building products through the purchase of GMS). Expansion of close categories like textiles as well as existing ones—for example, electric tools—could also drive

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Sector	Industry
Consumer Cyclical	Home Improvement Retail

Business Description

Home Depot is the world's largest home improvement specialty retailer, operating 2,359 warehouse-format stores offering more than 30,000 products in store and 1 million products online in the US, Canada, and Mexico. Its stores offer building materials, home improvement products, lawn and garden products, and decor products and provide various services, including home improvement installation services and tool and equipment rentals. The acquisition of Interline Brands in 2015 allowed Home Depot to enter the MRO business, which has been expanded through the tie-up with HD Supply (2020). The 2024 tie-up with SRS will help grow professional demand in roofing, pool, and landscaping projects, while the 2025 purchase of GMS will lift building product sales through 1,250 distribution locations.

demand.

In our opinion, perpetual improvements in the omnichannel experience should support the firm's competitive edge, even if existing-home sales and turnover remain depressed in the near term. The commitment to better merchandising and an efficient supply chain led the firm to achieve adjusted operating margin of 13.1% and return on invested capital, including goodwill, of 16% in 2025. Additionally, Home Depot's focus on cross-selling products in both its do-it-yourself and its pro channels should support stability in pricing and sales, helping achieve a modest operating margin lift, with our forecast averaging 13.8% over the next decade.

Bulls Say Jaime M. Katz, CFA, Senior Equity Analyst, 25 Feb 2026

- Home Depot's continued investments in supply chain and merchandising should improve productivity and support its leadership position in the home improvement market.
- The firm has returned $71 billion to its shareholders through dividends and share buybacks over the past five years, nearly 20% of its market cap. We forecast Home Depot will return more than $70 billion to owners over the next five years.
- The large professional market is $300 billion. As Interline and HD Supply make up a low-double-digit share, SRS reaches these specialists, and GMS joins the mix, share is up for grabs.

Bears Say Jaime M. Katz, CFA, Senior Equity Analyst, 25 Feb 2026

- Weak consumer spending, higher interest rates, or an economic downturn could hinder sales for home improvement projects and affect Home Depot's growth.
- Productivity improvement gains could prove more challenging to achieve, as simpler efforts have already bore fruit. New initatives could face some implementation risks, creating inconsistent profitability.
- As Home Depot digests more than one sizable acquisition, integration risk remains, and management could be distracted by idiosyncratic issues at larger tie-ups like SRS or GMS.

Economic Moat Jaime M. Katz, CFA, Senior Equity Analyst, 25 Feb 2026

We assign Home Depot a wide economic moat rating. As the largest global home improvement retailer, Home Depot possesses a competitive edge owing to its brand intangible asset and cost advantage, in our view. Over the past 10 years, Home Depot's sales growth has outpaced the building materials and garden equipment and supplies dealer industry's average growth of 4.3% by 230 basis points annually (based on the US Census Bureau data), an indication of the brand's ongoing relevance. We expect Home Depot's strong brand equity and extensive scale should enable incremental market share gains in a highly fragmented $1.1 trillion North American home improvement market, on top of the roughly 15% market share it has amassed thus far (given roughly $155 billion in sales in 2025).

We think Home Depot's impressive same-store sales growth, which has averaged 5.1% over the past 10

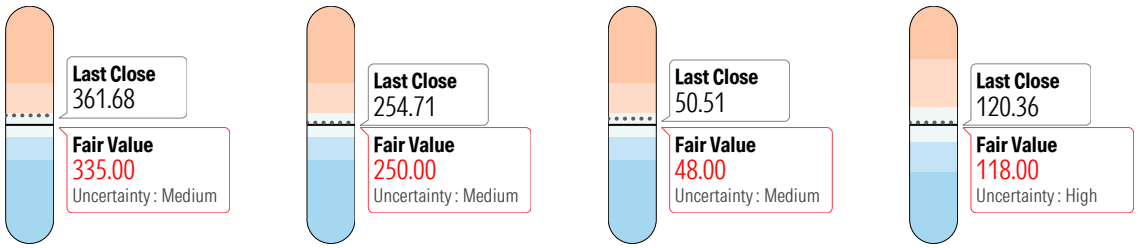
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Competitors



	The Home Depot Inc HD	Lowe's Companies Inc LOW	Tractor Supply Co TSCO	Target Corp TGT
Economic Moat	Wide	Wide	Wide	None
Currency	USD	USD	USD	USD
Fair Value	335.00 25 Feb 2026 18:45, UTC	250.00 22 Aug 2025 18:11, UTC	48.00 27 Oct 2025 14:22, UTC	118.00 23 Oct 2025 22:26, UTC
1-Star Price	452.25	337.50	64.80	182.90
5-Star Price	234.50	175.00	33.60	70.80
Assessment	Fairly Valued 6 Mar 2026	Fairly Valued 6 Mar 2026	Fairly Valued 6 Mar 2026	Fairly Valued 6 Mar 2026
Morningstar Rating	★★★6 Mar 2026 22:37, UTC	★★★6 Mar 2026 22:36, UTC	★★★6 Mar 2026 22:34, UTC	★★★6 Mar 2026 22:34, UTC
Analyst	Jaime M Katz, Senior Equity Analyst	Jaime M Katz, Senior Equity Analyst	Jaime M Katz, Senior Equity Analyst	Brett Husslein, Analyst
Capital Allocation	Exemplary	Exemplary	Exemplary	Standard
Price/Fair Value	1.08	1.01	1.05	1.02
Price/Sales	2.19	1.65	1.73	0.52
Price/Book	28.10	—	10.31	3.37
Price/Earning	24.62	20.74	24.52	14.59
Dividend Yield	2.54%	1.86%	1.84%	3.77%
Market Cap	356.33 Bil	141.30 Bil	26.40 Bil	54.69 Bil
52-Week Range	326.31—426.75	206.39—293.06	46.85—63.99	83.44—126.00
Investment Style	Large Blend	Large Value	Mid Blend	Mid Value

years, suggests that a brand intangible asset exists. For one, we think Home Depot's extensive product offerings and services have fostered brand loyalty. Home Depot has 30,000-40,000 stock-keeping units in stores and 1 million units online, allowing consumers to save time and effort by visiting one shop for all a project's needs. To continue to engage its consumers and keep up with changing customer demand (for localization and personalization, for instance), Home Depot leverages consumer data, collaborates with its suppliers, and conducts periodic merchandising resets to better refine its assortments. Apart from its trusted national brands, Home Depot holds exclusive brands that primarily cater to its DIY customers, who tend to be more brand-agnostic than pros; we think those brands not only allow broader product selection and brand positioning but also provide margin benefits (while not disclosed, we estimate private-label gross margins to be a few hundred basis points above national brands). Additionally, Home Depot's value-added services (including tools and trucks rental, installation, and remodeling) allow a smoother undertaking of projects for its wide range of end users,

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which further elevates the customer experience, in our view.

An important aspect of Home Depot's brand intangible asset lies in its perpetually improving omnichannel and delivery capabilities. We think these protect the firm's competitive position and prevent customer attrition by enabling customers to buy and receive what they want, how they want. While Home Depot maintains an extensive brick-and-mortar presence, it has been investing heavily in its digital and omnichannel capabilities for decades, which has allowed it to remain relevant in the market, in our view. For Home Depot, around half of e-commerce transactions (which represented a midteens percentage of 2025 sales) were ordered online and picked up in store, implying more than $25 billion worth of goods stemmed from an omnichannel transaction. For perspective, online penetration was just around 10% in 2019, but we expect it to remain around a mid-teens rate in the near term as buy online/pick up in store and other omnichannel efforts continue to be adopted across the overall consumer base. We expect omnichannel to continue to evolve based on customer-led demands, which will help protect brand position.

Moreover, with consumers favoring retailers with a robust omnichannel presence, retailers without capabilities to offer a seamless multichannel shopping experience could struggle to attract customers, in our view. We think operators that were less equipped to compete with the online incumbents and omnichannel retailers likely ceded share to Home Depot and Lowe's during the pandemic, as consumers acclimated to different transaction preferences. Home Depot's omnichannel footprint, combined with continued improvements in merchandising strategy and broader professional product offerings (bolstered by 40-50 greenfield location expansions annually and continued tuck-in acquisitions), should support the brand, in our opinion, driving same-store sales growth of 3.5% on average between 2026 and 2035. In addition, we think these efforts should prompt further market share gains, despite a mature home improvement market and where Home Depot sits in its business lifecycle.

Beyond its product offerings, we think Home Depot's emphasis on topnotch customer service and associate knowledge further supports its brand intangible asset. We attribute Home Depot's superior service levels to the firm's commitment to invest in its talent through various training and career development opportunities, competitive benefits, and a wellness package, to name a few. We think Home Depot's continued investment in its people (in 2023, the firm announced $1 billion in investment for front-line hourly workers) should help the retailer deliver reliable services to its customers and remain at the top of customers' minds for any home improvement needs.

Since 2015, acquisitions have helped Home Depot elevate its brand by expanding the product breadth and relevance for its professional segment. Here, key tie-ups to Home Depot's business have been Interline Brands and HD Supply (acquired in 2015 and 2020, respectively), through which it deepened its foothold in the MRO market that primarily caters to the pro customers. Interline Brands and HD Supply generated around $1.6 billion and $8 billion in sales, respectively, at the time of their

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acquisition, expanding Home Depot's pro penetration by a high-single-digit level. Home Depot can leverage these opportunities to cross- and up-sell, through which it can attract new customers and expand engagement from its existing pro base; we partially attribute the firm's strong average ticket growth (from $59 in 2014 to $91 in 2025, up 54% cumulatively) to its ability to successfully expand its pro customer base. In June 2024, Home Depot acquired a residential pro trade distributor, SRS Distribution, which expanded its total addressable pro market size by $50 billion (now quantified at $600 billion), focusing on roofing, landscape, and pool. We believe this deal was aimed at strengthening Home Depot's foray into complex pros. In 2025, Home Depot tied up with GMS, which generates around $5.5 billion in annual sales and bolsters exposure to the building products category.

We think the pro offering is a key differentiator of the brand, as indicated by the frequency (number of transactions) and the wallet share (average ticket in dollar terms) that we assume can generally outspend the DIY cohort. To entrench its standing with the pro cohort, Home Depot has worked to beef up its loyalty rewards program and enhance its service levels by offering exclusive services such as time-saving pro checkout, call-ahead ordering, and designated pro customer service managers, which we believe have resulted in consumer stickiness. For example, the Pro Xtra program allows for rewards, special sales, and discounts on certain categories, leading to meaningful savings for those undertaking sizable projects, nudging pros to stay with one brand. Further, efforts to target complex professionals have accelerated by building an outside salesforce and investing in order management and digital capabilities. Additionally, flexibility from credit programs has appealed to 7,000 professionals, who, on average, have increased spending by 30%, evidence of brand loyalty. Through both organic and inorganic means, Home Depot's pro mix shifted from 30% in 2013 to around half in 2025, with the rest generated from DIY customers. With GMS in the ecosystem, we think continued investments in a seamless shopping experience for pros should help them stay engaged with the brand.

We believe Home Depot's size (2,359 core stores throughout the United States, Canada, and Mexico, and 1,250 branches) has allowed it to manage large volume and disperse merchandise across a geographically diverse network of stores and distribution locations to target specific markets, underpinning a cost advantage. The magnitude of the business enables significant bargaining power with vendors when sourcing products, crafting advertisements, and arranging logistics. We think the symbiotic relationships that Home Depot maintains with its vendor partners are unlikely to be replicated easily, considering the current market landscape and the time and capital involved in scaling up to 1,000 locations, a minimum level we think would be required for any competitor to capture similar vendor pricing as Home Depot. Home Depot's adjusted operating margin (13.1% in fiscal 2025) outpaces those of its competitive set, supporting our argument that the firm can generate a superior level of leverage over a fixed cost base thanks to its scale, despite continued capital investments to improve the business.

Home Depot's ability to negotiate well with vendors allows the firm to provide value and instill customer

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loyalty by passing along a portion of these savings in the form of everyday low pricing. The ability to apply these tactics is a result of negotiating clout due to scale, as savings from bulk purchases allow for this pricing mechanism. We think everyday low pricing drives a positive flywheel effect, prompting customers to return as they understand the value proposition offered by the company, driving further scale gains. As evidence, total transactions at Home Depot remained at 1.6 billion in 2025, up 14% from 1.5 billion in 2015. Additionally, we assess the pricing strategy as successful given the stability of gross margins, which have been 33%-34% over the past decade—a level we believe will likely persist as any scale benefits gained are likely to be passed directly on to consumers.

In our opinion, it would be difficult for another retailer to enter the market and threaten Home Depot's position, as smaller retailers would have difficulty building vendor relationships strong enough to undermine the company's pricing prowess. While the threat of manufacturers creating their own retail network could jeopardize product availability in Home Depot's retail channel, we doubt such an endeavor would be successful in the longer term. In our opinion, manufacturers would be poised to move more products by maintaining a beneficial relationship with a wholesale network like Home Depot, rather than on their own. Thus, we are confident that Home Depot's competitive position will continue to benefit the business, indicated by our forward ROIC metrics remaining north of our 7% weighted average cost of capital over the next two decades (with ROICs including goodwill forecast to ultimately reach 21.5% in 2035 by our calculation), underpinning our wide moat rating.

Fair Value and Profit Drivers Jaime M. Katz, CFA, Senior Equity Analyst, 25 Feb 2026

We are raising our fair value estimate for Home Depot to $335 from $325 per share, after incorporating modestly better-than-expected fourth-quarter results and largely maintaining our 2026 outlook. Fourth-quarter same-store sales of 0.4% were ahead of our forecast 0.5% contraction, and the adjusted operating margin of 10.5% was 30 basis point better than we expected. This upside as well as time value accounted for the fair value change. The firm reiterated its 2026 forecast, which included 2.5%-4.5% sales growth, an adjusted operating margin of 12.8%-13%, and EPS growth of flat to 4%. Our updated forecast includes sales and EPS growth of 3.6% in fiscal 2026 along with a 12.9% adjusted operating margin (down 10 basis points).

Given the maturity of the domestic home improvement industry, we expect total demand to largely depend on changes in the real estate market, driven by prices, interest rates, turnover, and lending standards. We project 4.3% average sales growth over the next decade after housing market stabilization boosts DIY spending back toward historical levels, supported by offerings like buy online/pick up in store, better merchandising, and improved delivery options, which will drive market share gains. In the longer term, we forecast gross margins to hold steady over the next decade (ending 2035 at around 33.2%) while the SG&A expense ratio improves incrementally (leveraging 140 basis points over the next decade, to 17.2%) as the firm capitalizes on its scale and supply chain improvement

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initiatives while investing to protect its market leadership. This leads to a terminal operating margin of 14.5%, in line with its prepandemic peak.

Operating margins and ROICs could improve as the firm focuses on continued efficiency of the supply chain and the opportunity to better penetrate the pro business with market delivery centers that leverage its delivery capabilities. Additionally, we think Home Depot still has other opportunities to expand the business. It can capitalize on product lines with weak market share leaders, as it has previously done, for example, in appliances as Sears faltered. Also, having deeper product lines to cross-sell (with brands like Company Store offering exposure to textiles) could add incremental revenue potential. The service business, backed by a major national brand, as well as the commercial business coming from Interline and HD Supply, could build brand loyalty and keep consumers returning to a trusted source, something that could be hard to duplicate for a new entrant.

Risk and Uncertainty Jaime M. Katz, CFA, Senior Equity Analyst, 25 Feb 2026

We give the company a Medium Morningstar Uncertainty Rating owing to its strong brand recognition, which has helped stabilize sales through the cycle. Home Depot's sales are largely driven by greater consumer willingness to spend on category goods in both necessary and discretionary home purchases. In uncertain economic times, consumers remain in their homes, embarking on improvement projects, boosting DIY revenue. Alternatively, when home prices rise, the wealth effect generates a psychological boost to consumers, reinvigorating professional sales thanks to a higher willingness to spend on big home improvement projects. Now, with the MRO and pro businesses (HD Supply, SRS, and GMS), revenue could be less cyclical, as the maintenance side of the business can prove to be more consistent.

Although new competitors could set up shop on Home Depot's turf, we think new players would be hard-pressed to offer similarly competitive product prices, as they likely wouldn't have vendor relationships of the same magnitude. Ultimately, the biggest brands in home retailing will still want the biggest partners for distribution, leaving a new peer in a precarious position when it comes to acquiring enough of the most sought-after products to satisfy demand.

In our opinion, Home Depot has minimal environmental, social, and governance risk. Product sourcing, potential data theft, and consumers' shift in preferences to sustainable product offerings are relevant, but Home Depot should be able to adapt, and we do not see any material financial impact from these factors.

We believe the most significant near-term risks are a continuation of slow turnover in the real estate market and potential tariff impacts. Low home inventories for sale remain problematic, aggravated by higher-than-optimal mortgage rates (a 30-year loan remained near 6.0% at the end of February 2026).

Capital Allocation Jaime M. Katz, CFA, Senior Equity Analyst, 25 Feb 2026

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Our Morningstar Capital Allocation Rating for Home Depot is Exemplary. Forecast adjusted returns on invested capital, including goodwill (18% on average over the next five years), are set to handily outpace our weighted cost of capital estimate (7%) over our entire outlook, and the balance sheet remains sound, given the company's medium revenue cyclicality and decent operating leverage. A manageable level of debt is coming due over the next few years, and as such, we aren't concerned about capital demands. With net debt/EBITDA that should average less than 2 times over the next decade, there should be ample financial flexibility on the balance sheet.

Ted Decker took the CEO reins from Craig Menear in 2022. Like Menear, Decker had a long history with the organization, and as such, has largely followed the same strategic suit, including a disciplined focus on keeping the brand elevated. In 2019, longtime CFO Carol Tomé was replaced by Richard McPhail. Thus far, the financials have been managed similarly; this is not surprising, given McPhail's lengthy tenure working under Tomé.

We hold a positive view of Home Depot's investment strategy, as we think the company is spending strategically to maintain its competitive advantages and respond rapidly to evolving consumer demand patterns. We believe this is quantitatively supported by solid ROIC and improving adjusted operating margins (which grow 140 basis points over our forecast from 2025's level).

We deem cash distributions as appropriate, with the management team returning capital to shareholders when optimal. It suspended share repurchases early in the covid cycle but was able to restart opportunistic purchases in the first quarter of 2021, thanks to the strong demand that persisted throughout the pandemic. However, as it prioritizes derisking the balance sheet after the SRS acquisition, it paused repurchases again in 2024. We believe repurchase efforts will remain at bay for a few quarters as the company works down higher leverage stemming from the SRS and GMS acquisitions. Home Depot has consistently raised its dividend in recent years (with 9% average dividend per share growth over the past five years), prudently returning excess capital to shareholders.

Analyst Notes Archive

Home Depot Earnings: Operating Leverage Eludes Firm in Still-Slow Housing Market Jaime M. Katz, CFA,Senior Equity Analyst,24 Feb 2026

Home Depot eked out comparable sales growth of 0.3% in the fourth quarter, aided by 2.4% ticket growth but hurt by a 1.6% transaction decline. Weak top-line results led to cost deleverage, surfacing an adjusted operating margin that fell 120 basis points to 10.5%, slightly ahead of implied guidance. Why it matters: Key drivers of home improvement spending, including home prices and turnover, remain muted. With no near-term catalyst in sight, the firm expects the market to range from a 1% decline to a 1% increase, a third year of an industry seeking growth. Still, we think Home Depot is positioned to take share, even in a difficult environment. The firm remains focused on removing friction for its

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MORNINGSTAR®

The Home Depot Inc HD ★★★ 6 Mar 2026 22:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
361.68 USD 5 Mar 2026	335.00 USD 25 Feb 2026 18:45, UTC	1.08	356.31 USD Bil 6 Mar 2026	Wide	Large Blend	Medium	Exemplary	4 Mar 2026 06:00, UTC

consumers across issues like order management, delivery, and communication, which should bolster its brand intangible asset. The bottom line: We plan to raise our $325 fair value estimate for wide-moat Home Depot by a low-single-digit rate but view shares as rich. To justify the market price, the firm would have to return to a 15% operating margin, which we don't see as feasible in the near-term given the macro environment. Industry conditions appear stable, as evidenced by Home Depot's reaffirmation of its 2026 outlook for flat to 2% same store sales growth, 2.5%-4.5% total sales growth, and an adjusted operating margin of 12.8%-13%. This is in line with our preprint estimates of flat, 4%, and 13%, respectively. While the recently acquired distribution businesses act as a drag on operating margin over the near term, we surmise Home Depot will be able to extract additional efficiencies from rising scale and cross selling opportunities beyond 2026, allowing the metric to rise to a 14% average over time. Between the lines: The back half of 2026 could prove to be favorable. The firm will be lapping minimal benefit from storm activity in 2025 and September's acquisition of GMS, so comparisons will be easy.

Home Depot: Housing Market Hasn't Thawed Yet, Pointing to Only Modest Sales and EPS Growth in 2026 Jaime M. Katz, CFA,Senior Equity Analyst,9 Dec 2025

Home Depot hosted its biennial investor day, reiterating its 2025 outlook for 3% sales growth and adjusted EPS decline of 5%. Capital allocation priorities were unchanged, with the firm focused on investing in the business, paying the dividend, and repurchasing shares. Why it matters: Home improvement demand continues to be weighed down by higher interest rates and affordability issues. As such, Home Depot believes the industry will see flat conditions in 2026 (1% decline to 1% growth), offering little hope for a catalyst to shares over the next few quarters. Still, Home Depot's investments should buoy growth faster than the market, bolstered by the pro segment, which stands to benefit from investment in a national accounts team that will aid cross-selling, as well as greenfield expansion, tuck-in acquisitions, and gains in digital productivity. The firm is also focused on its consumer experience, a key support of the brand intangible asset. Faster delivery, product availability and AI enhancements (for example, Magic Apron for project know-how) stand to create an elevated experience across multiple touchpoints. The bottom line: We plan to lower our $335 fair value estimate for wide-moat Home Depot by a low-single-digit rate and view shares, which have fallen 10& year to date, as fairly valued. If the duration of the consumer slowdown in big ticket projects is protracted, we could see shares trade at a discount. Our reduction is largely a result of the firm's 2026 forecast, which includes 2.5%-4.5% sales growth, adjusted operating margin of 12.8%-13%, and EPS growth of flat to 4%. We plan to lower our 2026 preprint projections, which were for 8%, 13.5%, and 14%, respectively. However, when the market recovers, Home Depot sees 5%-6% sales growth and high-single-digit EPS growth, a touch above our long-term estimates for 4% sales and 7% EPS. With 15-20 new Home Depot stores and 40-50 distribution locations set to be added annually, this appears achievable.

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Home Depot Earnings: Static Housing Market and Rising Distribution Sales Mix Drag on Results

Jaime M. Katz, CFA,Senior Equity Analyst,18 Nov 2025

Home Depot's third-quarter results included same-store sales growth of 0.2% and adjusted operating margin compression of 50 basis points, to 13.3%. The firm closed the GMS acquisition in September, which contributed $900 million in sales but added 15 basis points in operating margin headwind. Why it matters: The lack of storms led to difficult comparisons, evidenced by comp transactions that fell 1.6%. Weather has also proven less significant in the fourth quarter to date, which will create further sales and profit pressure in the near term. An implied fourth-quarter same-store sales decline of 0.5% and EPS of $2.50 signals nearly 150 basis points of operating margin contraction. Part of this drop stems from lapping a 14-week period in 2024, but the primary impact is due to the negative margin mix from the SRS and GMS acquisitions. Existing home sales volume and price growth remain positive, supporting category spending. However, we don't expect to see much momentum in sales growth until 30-year mortgage rates fall below 6%, when we believe turnover would pick up because of homeowners' willingness to move. The bottom line: We hold our $335 fair value estimate for wide-moat Home Depot and see shares as fairly valued. It has rarely traded at a discount in the last decade and has not traded in fair value territory since 2023. Investors should keep an eye on shares as they could soon be attractive. Shares have fallen 12% year to date (through Nov. 18), widely underperforming the broader equity indexes. Incremental share pressure on the print has surfaced on a lowered 2025 outlook that now includes adjusted operating margin of 13.0% (versus 13.4% prior) and EPS of 14.48 ($15.24). As transaction and integration costs wane, we foresee operating margins returning to around 14% over the next five years. This is predicated on top-line growth of 4%, which is achieved through modest price increases, distribution location expansion, and rising cross-sales growth from pros.

Home Depot Earnings: Pro Growth Inroads Set to Benefit When Housing Market Picks Up Jaime M. Katz, CFA,Senior Equity Analyst,19 Aug 2025

Home Depot's second-quarter sales rose 4.9% on 1% same-store sales growth and the benefit of a full quarter of SRS Distribution sales. Steadily improving demand allowed the firm to maintain its 2025 outlook, including 2.8% sales and 1% comparable growth and a 13.4% adjusted operating margin.Why it matters: A chronically ill housing market persists, with existing-home sales struggling to find growth despite moderating price increases and mortgage rates. Still, helped by product breadth, Home Depot is gaining market share, outpacing the 1% industry decline in the quarter. Same-store sales should pick up modestly over the remainder of 2025 and accelerate as rates become more accommodative. Further, the firm is set to benefit from a wider customer base, sales team, and distribution network once the GMS acquisition is completed.The bottom line: We plan to raise our $308 fair value estimate for wide-moat Home Depot by a high-single-digit rate. This stems from time value and the benefit of sales and profit from the GMS acquisition, which was announced June 30 and is set to close by fiscal year-end.

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Even so, we see the shares as rich at 27 times 2025 adjusted earnings per share, above the 23 average over the past decade. To reach today's price, Home Depot would have to capture same-store sales growth of 5% and operating margins above 15% consistently, which we believe is unlikely, given ongoing investments. We are also set to change our Uncertainty Rating to Medium from Low to account for variability around tariffs and the macroeconomic environment, which could result in a protracted period of consumer hesitancy. This change aligns with our quantitative methodology.Between the lines: For 2026, we expect to add around $5.5 billion in incremental sales from GMS, which carried an adjusted operating margin below 10% in its most recent year. We also plan to lift long-term comp growth to 4% from 3.5% to account for a better opportunity set.

Home Depot: Addition of GMS to Expand Pro Business Further, but Unlikely to Move Our Valuation Much Jaime M. Katz, CFA,Senior Equity Analyst,30 Jun 2025

Home Depot's subsidiary SRS will begin a cash tender offer to purchase all shares of GMS common stock for $110 per share, indicating a total enterprise value of approximately $5.5 billion. The transaction is predicted to be accretive to EPS in the first year of its tie-up, even without synergies. Why it matters: Home Depot has been expanding its professional business presence in recent years, starting with the acquisition of Interline Brands in 2015, followed by HD Supply in 2020, and then SRS Distribution in 2024. With the addition of GMS, we estimate these acquisitions will represent around 15% of the sales mix in 2026. GMS has around 320 distribution centers that sell wallboard, ceilings, steel framing, and other construction items. It also manages around 100 tool sales, rental, and service locations for residential and commercial customers. Thus, GMS will bolster Home Depot's pro distribution. The bottom line: If the GMS deal closes by the end of 2025, we expect the transaction to lift our $308 fair value estimate for wide-moat Home Depot by around 3%, assuming some of the purchase is financed with cash. Home Depot had $1.4 billion in cash and $7 billion in credit access on May 4. At around 13 times EV/EBITDA, the deal is a bit less rich than SRS and HD Supply (estimated mid-teens). That said, some discount was warranted, given that GMS has delivered single-digit operating margins over the past three years, which is below Home Depot's average. We expect Home Depot will utilize past execution lessons to help mitigate integration risk, and, as such, we don't plan to alter our Exemplary Capital Allocation Rating. Even with sales growth returning to 4% and average operating margins of 14% post tie-up, ROICs should still surpass 20%. Coming up: Home Depot still intends to return to a 2 times leverage ratio by the end of fiscal 2026, which is in line with our preannouncement estimate.

Home Depot Earnings: Despite a Stalled Housing Market, Operating Margin Preservation Persists Jaime M. Katz, CFA,Senior Equity Analyst,20 May 2025

Home Depot delivered first-quarter sales growth of 9.4%, buoyed by its acquisition of SRS, but same-store sales fell 0.3%, hurt by a 70-basis-point foreign exchange headwind. Despite struggling home turnover, the firm held its full-year outlook for sales growth of 2.8% and adjusted EPS 2% lower. Why it

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matters: Although housing supply has improved modestly to four months, existing home sales remain subdued, falling 2.4% in March. We don't expect either turnover or demand to pick up materially over the next few quarters, keeping Home Depot's sales growth subdued. Interest rates appear to be the limiting factor in housing transactions. Morningstar's average annual 30-year mortgage rate forecast doesn't fall below 6% until 2026 from 7% currently, when faster growth could again result in cost leverage. We think Home Depot will continue to take share in its markets, particularly across the professional segment, as cross-selling opportunities abound and SRS takes the lead on the firm's trade credit program. This should support long-term average annual sales growth of 4%. The bottom line: We don't plan any material change to our $305 fair value estimate for Home Depot and view shares as rich at 26 times our 2025 EPS estimate. We believe the premium multiple awarded to the best-in-class retailer is outsized to the 6% EPS growth we model over the next five years. We view the firm's commitment to its everyday low-price strategy, which should continue to uplift the brand, as a key tenet underlying our wide moat rating. The pass through of savings to consumers will hold our gross margin outlook to around 33.5% over the next decade. The firm's scale has helped it maintain its 2025 outlook, as sourcing diversification and negotiating leverage should help the adjusted operating margin reach 13.4%, down just 10 basis points despite tariffs. Fortunately, more than 50% of Home Depot's products are sourced in the US.

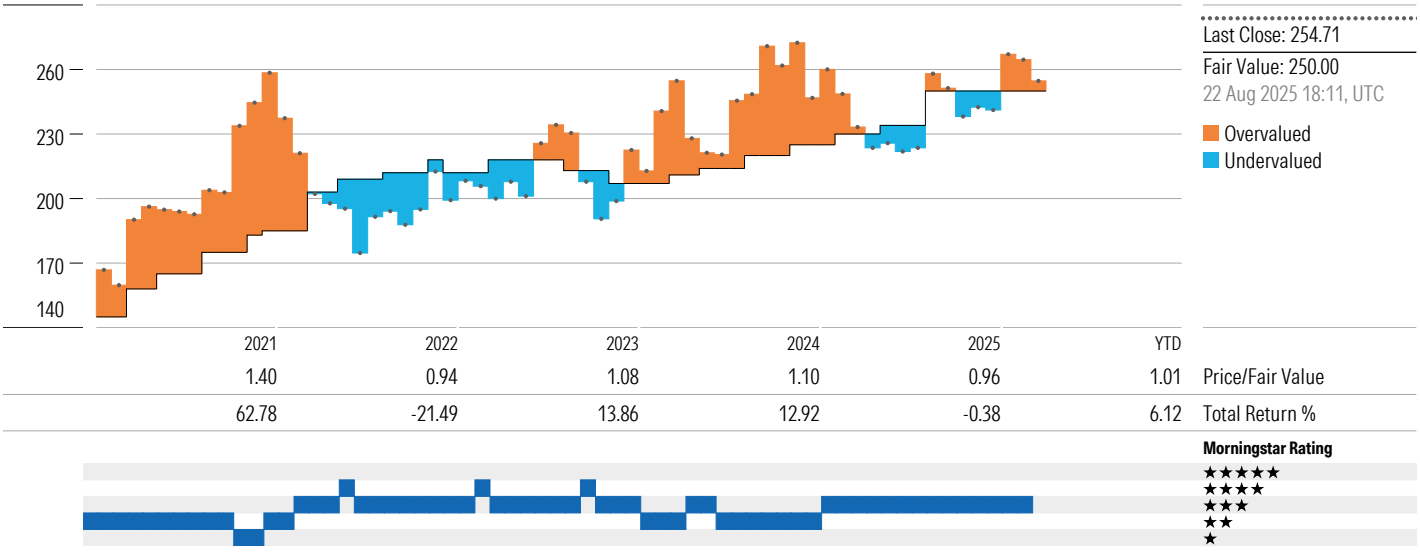
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Competitors Price vs. Fair Value

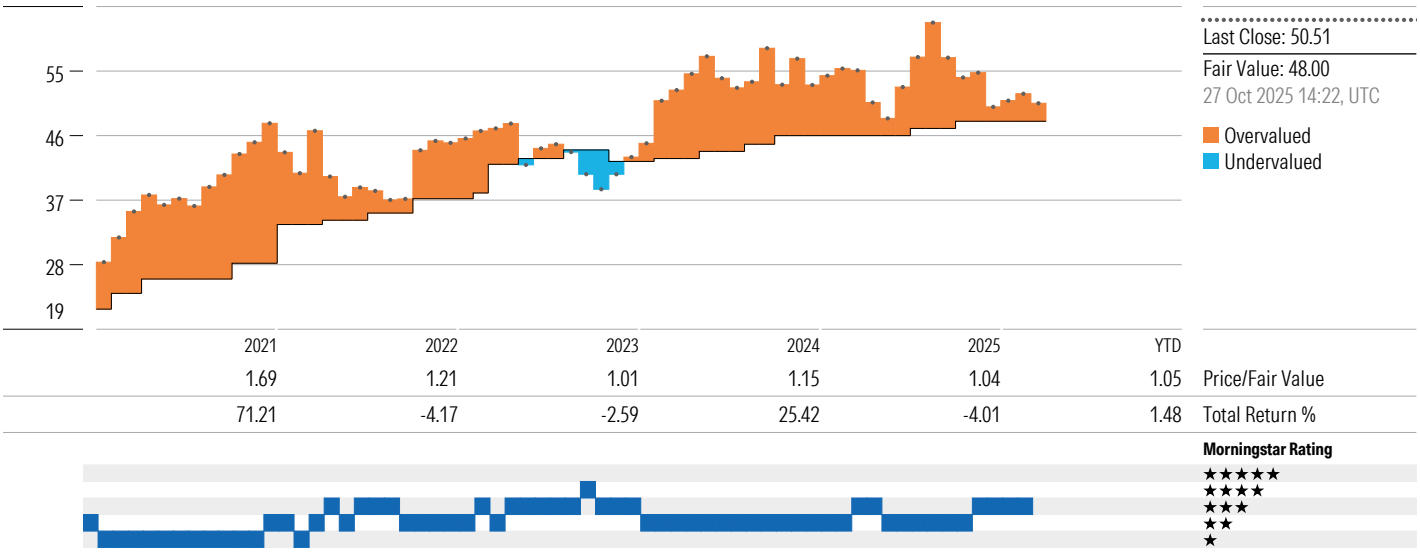
Lowe's Companies Inc LOW



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.40	0.94	1.08	1.10	0.96	1.01
Total Return %	62.78	-21.49	13.86	12.92	-0.38	6.12

Total Return % as of 05 Mar 2026. Last Close as of 05 Mar 2026. Fair Value as of 22 Aug 2025 18:11, UTC.

Tractor Supply Co TSCO



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.69	1.21	1.01	1.15	1.04	1.05
Total Return %	71.21	-4.17	-2.59	25.42	-4.01	1.48

Total Return % as of 05 Mar 2026. Last Close as of 05 Mar 2026. Fair Value as of 27 Oct 2025 14:22, UTC.

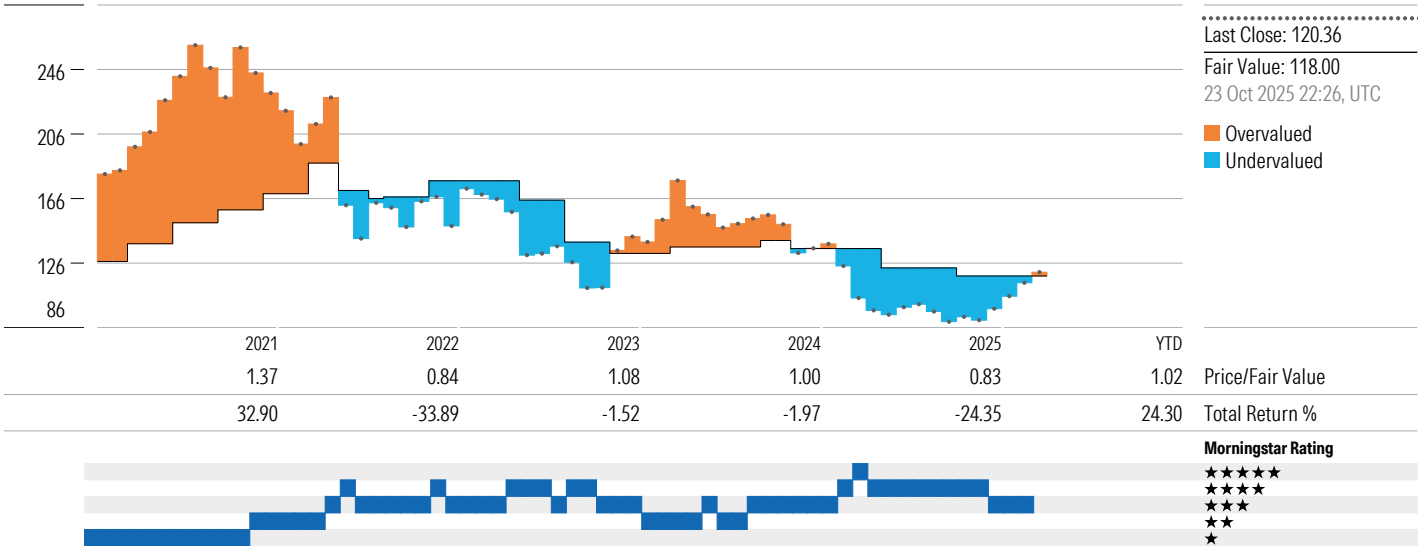
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Competitors Price vs. Fair Value

Target Corp TGT



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.37	0.84	1.08	1.00	0.83	1.02
Total Return %	32.90	-33.89	-1.52	-1.97	-24.35	24.30

Total Return % as of 05 Mar 2026. Last Close as of 05 Mar 2026. Fair Value as of 23 Oct 2025 22:26, UTC.

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Morningstar Valuation Model Summary

Financials as of 24 Feb 2026	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Revenue (USD Mil)	152,669	159,514	164,683	170,648	178,209	186,098	194,330	202,919
Operating Income (USD Mil)	21,689	21,971	21,497	21,937	23,532	24,946	26,439	28,013
EBITDA (USD Mil)	24,936	25,307	25,011	24,073	25,704	27,244	28,868	30,580
Adjusted EBITDA (USD Mil)	24,936	25,307	25,011	24,073	25,704	27,244	28,868	30,580
Net Income (USD Mil)	15,143	14,806	14,156	14,329	15,510	16,620	17,840	19,118
Adjusted Net Income (USD Mil)	15,143	15,141	14,621	14,865	16,046	17,156	18,376	19,654
Free Cash Flow To The Firm (USD Mil)	17,579	-2,817	7,909	17,407	15,596	16,684	18,390	19,152
Weighted Average Diluted Shares Outstanding (Mil)	1,002	993	995	995	980	965	955	945
Earnings Per Share (Diluted) (USD)	15.11	14.91	14.23	14.41	15.83	17.22	18.68	20.23
Adjusted Earnings Per Share (Diluted) (USD)	15.11	15.24	14.69	14.95	16.37	17.78	19.24	20.80
Dividends Per Share (USD)	8.36	9.00	9.20	9.32	9.51	9.98	10.48	11.53

Margins & Returns as of 24 Feb 2026		Actual			Forecast					
	3 Year Avg	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**5 Year Avg**
Operating Margin %	13.5	14.2	13.8	13.1	12.9	13.2	13.4	13.6	13.8	13.0
EBITDA Margin %	—	16.3	15.9	15.2	14.1	14.4	14.6	14.9	15.1	—
Adjusted EBITDA Margin %	—	16.3	15.9	15.2	14.1	14.4	14.6	14.9	15.1	14.6
Net Margin %	9.3	9.9	9.3	8.6	8.4	8.7	8.9	9.2	9.4	8.9
Adjusted Net Margin %	9.4	9.9	9.5	8.9	8.7	9.0	9.2	9.5	9.7	9.2
Free Cash Flow To The Firm Margin %	4.9	11.5	-1.8	4.8	10.2	8.8	9.0	9.5	9.4	9.4

Growth & Ratios as of 24 Feb 2026		Actual			Forecast					
	3 Year CAGR	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**	**5 Year CAGR**
Revenue Growth %	1.5	-3.0	4.5	3.2	3.6	4.4	4.4	4.4	4.4	4.3
Operating Income Growth %	-3.7	-9.8	1.3	-2.2	2.1	7.3	6.0	6.0	5.9	5.4
EBITDA Growth %	-2.5	-7.7	1.5	-1.2	-3.8	6.8	6.0	6.0	5.9	4.2
Adjusted EBITDA Growth %	-2.5	-7.7	1.5	-1.2	-3.8	6.8	6.0	6.0	5.9	4.1
Earnings Per Share Growth %	-5.2	-9.5	-1.3	-4.6	1.3	9.8	8.8	8.5	8.3	7.3
Adjusted Earnings Per Share Growth %	-5.2	-9.5	0.9	-3.6	1.7	9.5	8.6	8.2	8.1	7.3

Valuation as of 24 Feb 2026	Actual			Forecast				
	2024	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Price/Earning	23.4	27.0	25.5	23.9	21.9	20.1	18.6	17.2
Price/Sales	2.2	2.2	2.5	2.1	2.0	1.9	1.8	1.8
Price/Book	339.4	61.6	29.1	20.1	19.0	17.8	15.0	12.8
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	15.1	15.7	18.8	17.5	16.4	15.4	14.6	13.7
EV/EBIT	17.4	18.1	21.9	19.2	17.9	16.8	15.9	15.0
Dividend Yield %	2.4	2.2	2.5	2.6	2.7	2.8	2.9	3.2
Dividend Payout %	55.3	59.0	62.6	62.4	58.1	56.1	54.5	55.4
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 24 Feb 2026	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
ROA %	19.8	15.4	13.5	13.2	13.9	14.6	15.2	15.7
ROE %	1450.5	223.0	110.5	81.0	84.1	85.9	78.1	72.5
ROIC %	21.0	19.9	17.3	16.4	17.0	17.6	18.2	18.9

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The Home Depot Inc HD ★★★ 6 Mar 2026 22:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
361.68 USD 5 Mar 2026	335.00 USD 25 Feb 2026 18:45, UTC	1.08	356.31 USD Bil 6 Mar 2026	Wide	Large Blend	Medium	Exemplary	4 Mar 2026 06:00, UTC

Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Jan	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**2031**
Debt/Capital %	13.2	13.0	13.2	13.2	12.9	12.5	11.8	11.2
Assets/Equity	73.3	14.5	8.2	6.1	6.0	5.9	5.1	4.6
Net Debt/EBITDA	1.9	1.9	2.4	2.1	2.0	1.9	1.7	1.5
Total Debt/EBITDA	2.0	2.1	2.5	2.2	2.1	1.9	1.8	1.6
EBITDA/ Net Interest Expense	14.1	11.9	10.9	10.5	11.0	11.9	13.3	14.9

Forecast Revisions as of 25 Feb 2026	2027		2028		2029	
Prior data as of 11 Dec 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	335.00	324.61	—	—	—	—
Revenue (USD Mil)	170,648	164,362	178,209	170,721	186,098	178,285
Operating Income (USD Mil)	21,937	21,340	23,532	22,108	24,946	23,712
EBITDA (USD Mil)	24,073	23,323	25,704	24,102	27,244	25,849
Net Income (USD Mil)	14,865	14,356	16,046	14,895	17,156	16,145
Earnings Per Share (Diluted) (USD)	14.41	13.96	15.83	14.46	17.22	15.93
Adjusted Earnings Per Share (Diluted) (USD)	14.95	14.43	16.37	15.00	17.78	16.47
Dividends Per Share (USD)	9.32	9.20	9.51	9.66	9.98	10.14

Key Valuation Drivers as of 24 Feb 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	5.8
Weighted Average Cost of Capital %	7.1
Long-Run Tax Rate %	24.8
Stage II EBI Growth Rate %	5.4
Stage II Investment Rate %	37.7
Perpetuity Year	20

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 24 Feb 2026

	USD Mil
Present Value Stage I	135,227
Present Value Stage II	77,844
Present Value Stage III	172,604
Total Firm Value	**385,675**
Cash and Equivalents	1,389
Debt	55,772
Other Adjustments	310
Equity Value	**331,602**
Projected Diluted Shares	994
Fair Value per Share (USD)	**335.00**

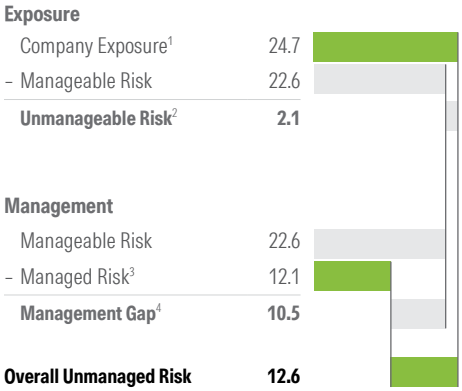
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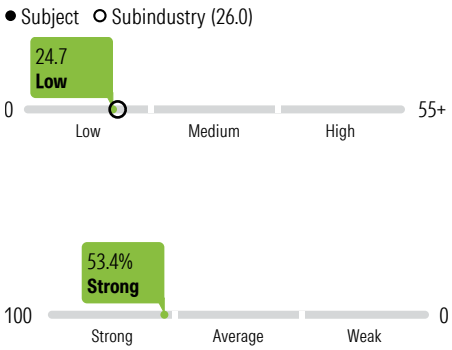
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The Home Depot Inc HD ★★★ 6 Mar 2026 22:37, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
361.68 USD 5 Mar 2026	335.00 USD 25 Feb 2026 18:45, UTC	1.08	356.31 USD Bil 6 Mar 2026	Wide	Large Blend	Medium	Exemplary	 4 Mar 2026 06:00, UTC

ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Mar 04, 2026. Highest Controversy Level is as of Feb 08, 2026. Sustainalytics Subindustry: Home Improvement Retail. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 53.4% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 04 Mar 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
The Home Depot Inc	24.7 | Low	0	55+	53.4 | Strong	100	0	12.6 | Low	0	40+
Lowe's Companies Inc	25.1 | Low	0	55+	63.8 | Strong	100	0	10.5 | Low	0	40+
Target Corp	33.2 | Low	0	55+	61.9 | Strong	100	0	14.3 | Low	0	40+
Tractor Supply Co	28.3 | Low	0	55+	55.9 | Strong	100	0	13.5 | Low	0	40+
Wayfair Inc	37.2 | Medium	0	55+	37.4 | Average	100	0	24.3 | Medium	0	40+

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Appendix

Historical Morningstar Rating

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Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★	★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★★	★★★	★★	★★	★★★	★★	★★	★★	★★	★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★	★	★	★	★	★	★	★	★★	★★

Lowe's Companies Inc LOW 6 Mar 2026 22:36, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★

Tractor Supply Co TSCO 6 Mar 2026 22:34, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★★	★★★	★★★	★★	★★★	★★	★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★	★	★	★	★	★	★	★	★	★	★	★★

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Target Corp TGT 6 Mar 2026 22:34, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★★	★★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★	★★	★★★	★★	★★	★★	★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★	★★	★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★	★	★	★	★	★	★	★	★	★	★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

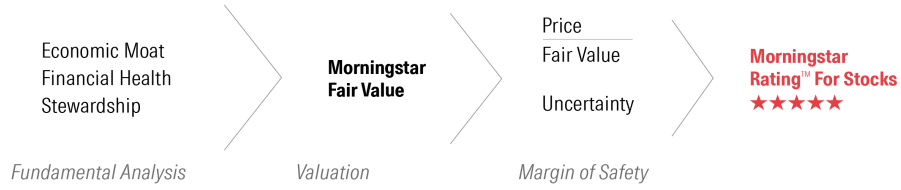
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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Research Methodology for Valuing Companies

outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

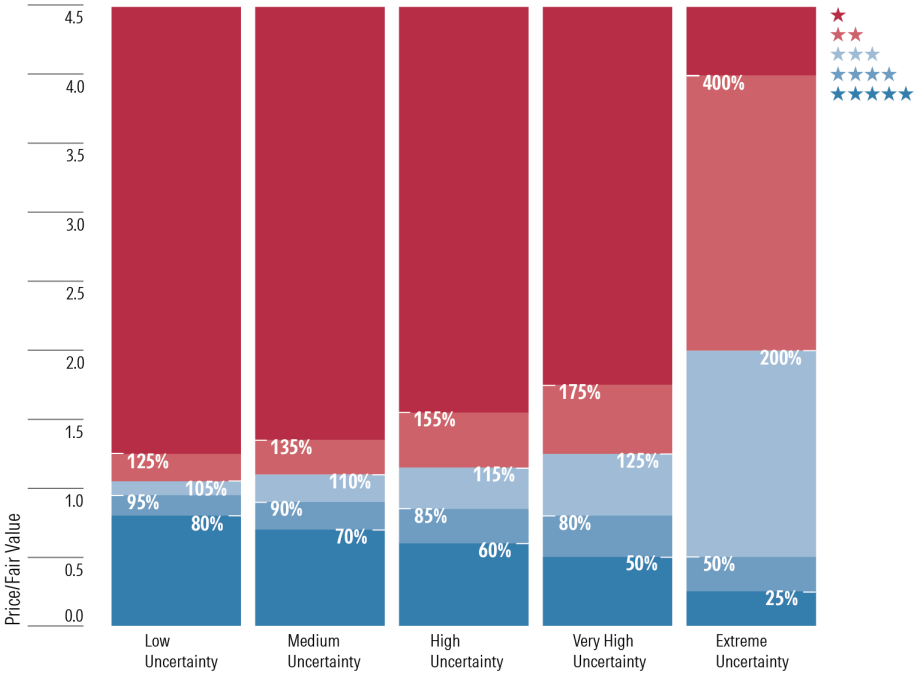
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

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Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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